

Rural Electrification Corporation Limited

A Government of India Enterprise

Incorporated on July 25, 1969 under the Companies Act, 1956 as a private limited company. The word "private" was deleted from the name of our Company on June 3, 1970. Our Company became a deemed public limited company with effect from July 1, 1975. Our Company was converted into a public limited company with effect from July 18, 2003.
Registered Office and Corporate Office: Core 4, SCOPE Complex, 7, Lodhi Road, New Delhi 110 003, India. Tel: +91 11 2436 5161. Fax: +91 11 2436 0644.
For details of changes in our registered office, see the section titled "History and Certain Corporate Matters" beginning on page 95 of the Red Herring Prospectus.
Contact Person: Mr. B. R. Raghunandan, Company Secretary. Tel: +91 11 2436 7305. Fax: +91 11 2436 2039. E-mail: ipo@rec.nic.in. Website: www.recindia.nic.in

PUBLIC ISSUE OF UP TO 156,120,000 EQUITY SHARES OF RS. 10 EACH ("EQUITY SHARES") FOR CASH AT A PRICE OF RS. [•] PER EQUITY SHARE OF RURAL ELECTRIFICATION CORPORATION LIMITED ("REC", "OUR COMPANY" OR "THE ISSUER") AGGREGATING RS. [•] MILLION ("THE ISSUE"). THE ISSUE COMPRISES A FRESH ISSUE OF UP TO 78,060,000 EQUITY SHARES BY REC ("THE FRESH ISSUE") AND AN OFFER FOR SALE OF UP TO 78,060,000 EQUITY SHARES BY THE PRESIDENT OF INDIA ACTING THROUGH THE MINISTRY OF POWER, GOVERNMENT OF INDIA (THE "SELLING SHAREHOLDER") (THE "OFFER FOR SALE"). THE ISSUE COMPRISES A NET ISSUE TO THE PUBLIC OF UP TO 152,217,000 EQUITY SHARES ("THE NET ISSUE") AND A RESERVATION OF UP TO 3,903,000 EQUITY SHARES FOR SUBSCRIPTION BY ELIGIBLE EMPLOYEES (AS DEFINED IN THE RED HERRING PROSPECTUS) (THE "EMPLOYEE RESERVATION PORTION"), AT THE ISSUE PRICE. THE ISSUE SHALL CONSTITUTE APPROXIMATELY 18.18% OF THE FULLY DILUTED POST-ISSUE CAPITAL OF REC.

PRICE BAND: RS. 90 TO RS. 105 PER EQUITY SHARE OF FACE VALUE RS. 10 EACH

THE FACE VALUE OF EQUITY SHARES IS RS.10 EACH. THE FLOOR PRICE IS 9 TIMES OF THE FACE VALUE AND THE CAP PRICE IS 10.5 TIMES OF THE FACE VALUE.

This Issue consists of an issue for less than 25% of the post Issue capital and is being made through a 100% Book Building Process wherein at least 60% of the Net Issue shall be allocated on a proportionate basis to Qualified Institutional Buyers ("QIBs"), out of which 5% shall be available for allocation on a proportionate basis to Mutual Funds only and the remainder shall be available for allocation on a proportionate basis to all QIBs, including Mutual Funds, subject to valid Bids being received at or above the Issue Price. If at least 60% of the Net Issue cannot be allocated to QIBs, then the entire application money will be refunded forthwith. Further, up to 10% of the Net Issue shall be available for allocation on a proportionate basis to Non Institutional Bidders and up to 30% of the Net Issue shall be available for allocation on a proportionate basis to Retail Individual Bidders, subject to valid Bids being received at or above the Issue Price. Further, up to 3,903,000 Equity Shares shall be made available for allocation on a proportionate basis to the Eligible Employees, subject to valid Bids being received at or above the Issue Price.

"In case of revision in the Price Band, the Bidding/Issue Period will be extended for three additional working days after revision of the Price Band subject to the Bidding/Issue Period not exceeding 10 working days. Any revision in the Price Band and the revised Bidding/Issue Period, if applicable, will be widely disseminated by notification to the Bombay Stock Exchange Limited ("BSE") and the National Stock Exchange of India Limited ("NSE"), by issuing a press release, and also by indicating the change on the websites of the Book Running Lead Managers ("BRLMs") and at the terminals of the members of the Syndicate."

Bids can be made for a minimum of 60 Equity Shares and in multiples of 60 Equity Shares thereafter.

**BID/
ISSUE**

OPENS ON FEBRUARY 19, 2008

CLOSES ON FEBRUARY 22, 2008

Promoters of the Company : President of India acting through the Ministry of Power, Government of India

"Bidders should note that on the basis of names of the Bidders, Depository Participant's name, Depository Participant's identification number and beneficiary account number provided by them in the Bid-cum-Application Form, the Registrar to the Issue will obtain from the Depository, the Bidder's bank account details. These bank account details would be printed on the refund orders, if any, to be sent to Bidders. Hence, Bidders are advised to immediately update their bank account details as appearing on the records of the Depository Participant. Please note that failure to do so could result in delays in credit of refunds to Bidders at the Bidders' sole risk."

LISTING: The Equity Shares offered through the Red Herring Prospectus (RHP) are proposed to be listed on the NSE and the BSE. We have received in-principle approval from the NSE and the BSE for the listing of our Equity Shares pursuant to letters dated September 17, 2007 and October 16, 2007 respectively. NSE shall be the Designated Stock Exchange.

DISCLAIMER CLAUSE OF SEBI: "SEBI only gives its observations on the Offer Documents and this does not constitute approval of either the Issue or the Offer Document."

DISCLAIMER CLAUSE OF THE BSE: "It is to be distinctly understood that the permission given by BSE should not in any way be deemed or construed that the RHP has been cleared or approved by BSE nor does it certify the correctness or completeness of any of the contents of the RHP. The investors are advised to refer to the RHP for the full text of the disclaimer clause of BSE."

DISCLAIMER CLAUSE OF THE NSE: "It is to be distinctly understood that the permission given by NSE should not in any way be deemed or construed that the Offer Document has been cleared or approved by NSE nor does it certify the correctness or completeness of any of the contents of the Offer Document. The investors are advised to refer to the Offer Document for the full text of the disclaimer clause of NSE."

BOOK RUNNING LEAD MANAGERS			REGISTRAR TO THE ISSUE
 IL&FS INVESTSMART SECURITIES LIMITED The IL&FS Financial Centre, Plot No. C-22, G Block, Bandra-Kurla Complex, Bandra (East), Mumbai 400 051, India. Tel: +91 22 2659 3333; Fax: +91 22 6693 1862 Email: rec.ipo@investsmartindia.com Website: www.investsmart.in Contact Person: Mr. Nakul Kapoor SEBI Registration No.: INM000002475	 ICICI SECURITIES LIMITED ICICI Centre, H.T. Parekh Marg, Churchgate, Mumbai 400 020, India. Tel: +91 22 2288 2460 Fax: +91 22 2283 7045 Email: rec.ipo@icicicld.com Website: www.icicisecurities.com Contact Person: Mr. Rajiv Poddar SEBI Registration No.: INM00011179	 SBI CAPITAL MARKETS LIMITED 202, Maker Tower E, Cuffe Parade, Mumbai 400 005, India. Tel: +91 22 2218 9166 Fax: +91 22 2218 8332 Email: rec.ipo@sbcaps.com Website: www.sbcaps.com Contact Person: Ms. Neha Nagpal SEBI Registration No.: INM000003531	 KARVY COMPUTERSHARE PRIVATE LIMITED "Karvy House", 46, Avenue 4, Street No.1, Banjara Hills, Hyderabad 500 034, India. Tel: +91 40 2342 0815; Fax: +91 40 2342 0814 Toll Free No: 1-800-345 4001 Email: rec.ipo@karvy.com Website: www.karvy.com Contact Person: Mr. M. Murali Krishna SEBI Registration No.: INR000000221
COMPANY SECRETARY & COMPLIANCE OFFICER: Mr. B.R. Raghunandan, Rural Electrification Corporation Limited, Core-4, SCOPE Complex, 7, Lodhi Road, New Delhi 110 003, India. Tel: +91 11 2436 7305, Fax: +91 11 2436 2039, E-mail: complianceofficer@rec.nic.in Investors can contact the Compliance Officer in case of any pre-issue or post-issue related problems such as non-receipt of letters of Allotment, credit of Allotted shares in the respective beneficiary account or refund orders, etc.			

IPGRADING: This Issue has been graded by CRISIL Limited as 3/5. For details, see the section titled "General Information" beginning on page 11 of the RHP.

AVAILABILITY OF APPLICATION FORMS: Bid cum Application Forms can be obtained from Rural Electrification Corporation Limited, BRLMs: IL&FS Investsmart Securities Limited, ICICI Securities Limited, SBI Capital Markets Limited and at selected locations of the sub-syndicate members participating in this Issue.

AVAILABILITY OF THE RED HERRING PROSPECTUS: Investors are advised to refer to the RHP and the risk factors contained therein, before applying in the Issue. Full copy of the Red Herring Prospectus is available at www.sebi.gov.in and the websites of the BRLMs, BSE and NSE at www.investsmart.in, www.icicisecurities.com, www.sbcaps.com, www.bseindia.com, and www.nseindia.com respectively.

BANKERS TO THE ISSUE AND ESCROW COLLECTION BANKS: ABN Amro Bank N.V., Centurion Bank of Punjab Limited, HDFC Bank Limited, ICICI Bank Limited, Kotak Mahindra Bank Limited, Standard Chartered Bank, State Bank of India Limited and Yes Bank Limited.

"This communication has been prepared for publication in India and may not be released in the United States. This communication does not constitute an offer of securities for sale in the United States. Securities may not be offered or sold in the United States absent registration under the US Securities Act of 1933, as amended or an exemption therefrom. The issuer or selling security holder has not and does not intend to register any securities under the US Securities Act of 1933, as amended, and does not intend to offer any securities to the public in the United States. The Company will not be registered under the US Investment Company Act of 1940, as amended, and investors will not be entitled to the benefits of that Act. No money, securities or other consideration from any person inside the United States is being solicited and, if sent in response to the information contained in these written materials, will not be accepted. Securities for sale in any jurisdiction, including the United States, and any securities described in this communication may not be offered or sold in the United States in the absence of registration under the US Securities Act of 1933 or an exemption from registration."

For Rural Electrification Corporation Ltd.
Sd/-
Director